

Question 1

Question ID: 1575055

An analyst is evaluating the degree of competition in an industry and compiles the following information:

- Few significant barriers to entry or exit exist.
- Firms in the industry produce slightly differentiated products.
- Each firm faces a demand curve that is largely unaffected by the actions of other individual firms in the industry.

The analyst should characterize the competitive structure of this industry as:

A) oligopoly.



B) monopoly.



C) monopolistic competition.



Explanation

Both oligopoly and monopolistic competition are consistent with firms that produce slightly differentiated products. However, with few significant barriers to entry and little interdependence among competitors, the industry does not fit the definition of an oligopoly and would be best characterized as monopolistic competition. (Module 12.2, LOS 12.b)

Related Material

Question 2

Question ID: 1575056

The *least appropriate* measures of economic activity to use to identify peaks and troughs of a country's business cycle are:

A) interest rates and stock market values.



B) unemployment and GDP growth.



C) industrial production and inflation.



Explanation

Interest rates are a reaction to economic activities, but they are determined by monetary policy. Stock market indices are not direct measures of economic activity; rather, they tend to be leading indicators of the economy. Industrial production, inflation, unemployment, and GDP growth are measures of economic activity that should be considered when attempting to identify the peaks and troughs of a country's business cycle.

(Module 13.1, LOS 13.a)

Related Material

[SchweserNotes - Book 1](#)

Question 3

Question ID: 1575057

A diffusion index is *least likely* to:

A) reflect the consensus movement in economic indicators.



B) indicate how widely a particular token has been disseminated.



C) measure the breadth of change in a composite index.



Explanation

Diffusion indices are useful as a measure of the breadth of the change in a composite index. Diffusion indices indicate how widespread a particular movement is among the individual components; they reflect the common trends present in the changes of all the indicators included in an index.

(Module 13.1, LOS 13.c)

Related Material

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Question 4

Question ID: 1575058

For an economy that is initially at full-employment real GDP, an increase in aggregate demand will *most likely* have what effects on the price level and real GDP in the short run?

A) Both will increase in the short run.



B) Neither will increase in the short run.



C) Only one will increase in the short run.



Explanation

An increase in aggregate demand will cause short-run equilibrium to move along the short-run aggregate supply curve. This will tend to increase both real GDP and the price level in the short run. (Module 14.1, LOS 14.b)

Related Material

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Question 5

Question ID: 1575059

A central bank is *least likely* to:

A) act as the lender of last resort.



B) serve as the monopoly supplier of the currency.



C) set interest rates for business loans.



Explanation

Central banks assume a range of roles and responsibilities, but setting the interest rates for business loans is not among them. However, central banks do set the policy interest rate, which influences the loan rates that banks charge their customers.

(Module 15.1, LOS 15.a)

Related Material

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Question 6

Question ID: 1575060

A country that is a regional or global leader that uses its political or economic influence over others to control resources would *most likely* be described as:

A) autarkic.



B) hegemonic.



C) multilateral.



Explanation

Hegemony describes countries that use political or economic influence of other countries to control resources. *Autarky* refers to countries seeking political self-sufficiency without external trade or financing. *Multilateralism* refers to countries that participate in rules harmonization and mutually beneficial trade relationships.

(Module 16.1, LOS 16.d)

Related Material

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Question 7

Question ID: 1575061

Regarding geopolitical risks from the perspective of an investor, which of the following types of risks is *most likely* to be sudden and unanticipated?

A) Exogenous risk.



B) Thematic risk.



C) Event risk.



Explanation

Exogenous risk is a sudden or unanticipated risk such as natural disasters, sudden uprisings, or invasions.

Thematic risk is a known risk that evolves and expands over a period of time. Event risk evolves around set dates.

(Module 16.1, LOS 16.f)

Related Material

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Question 8

Question ID: 1575062

Compared to a customs union or a common market, the primary advantage of an economic union is that:

A) its members adopt a common currency.



B) its members have a common economic policy.



C) it removes barriers to imports and exports among its members.



Explanation

The advantage of an economic union is that its members establish common economic policies and institutions. A common currency is a characteristic of a monetary union. All regional trading agreements remove barriers to imports and exports among their members. (Module 17.1, LOS 17.c)

Related Material

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Question 9

Question ID: 1575063

International trade is *least likely* to result in:

A) better allocation of resources.



B) greater competition.



C) lower income inequality.



Explanation

Two compelling arguments in favor of international trade are that competition is increased, and that resources are more efficiently allocated. However, opponents of free trade point to the potential for greater income inequality.

(Module 17.1, LOS 17.a)

Related Material

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Question 10

Question ID: 1575064

The Eurasian Economic Union (EAEU) is a pact between Russia, Belarus, Kazakhstan, Armenia, and Kyrgyzstan that allows free movement of goods and services among members and maintains a common trade policy against nonmembers. These countries are *most likely* a part of:

A) a free trade area.



B) an economic union.



C) a customs union.



Explanation

The agreement between Russia and its neighbors is most accurately termed a *customs union*. A free trade area (e.g., United States–Canada–Mexico) does not necessarily have a common trade policy with respect to other trade partners. An economic union (e.g., the European Union) entails even more integration than a customs union—an economic union additionally allows free movement of factors of production among members.

(Module 17.1, LOS 17.c)

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Question 11

Question ID: 1575065

A currency broker based in Chicago provides a spot exchange rate quote of 140 JPY/USD to a hedge fund in Tokyo.

From the perspective of the Japanese hedge fund, the *most accurate* statement is that the:

A) direct exchange rate quotation is equal to 140.



B) indirect exchange rate quotation is equal to 140.



C) direct exchange rate quotation is equal to 0.00714.



Explanation

For a JPY/USD quote, the Japanese yen is the price currency, so the direct quote for the Japanese hedge fund is 140 because it costs 140 JPY to purchase 1 USD. Direct exchange rates use the domestic currency as the price currency and the foreign currency as the base currency.

(Module 18.1, LOS 18.a)

Related Material

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Question 12

Question ID: 1575066

A U.S. company recently finalized a sale of goods to a German client and expects to receive a payment of EUR50 million in one year. At the time of the sale, the EUR/USD spot rate was 0.9378, and the 12-month forward rate was 0.93526 EUR/USD. According to the exchange rate information, the 12-month forward points are *closest* to:

A) -25.4.



B) -14.8.



C) +0.00148.



Explanation

The number of forward points is equal to the scaled difference between the forward rate and the spot rate. In this case, $0.93526 - 0.93780 = -0.00254$. This is then multiplied by 10,000 to convert to the number of forward points.

(Module 19.1, LOS 19.b)

Related Material

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